

Vinod Kumar Jaiswal And Another v. State of U.P. And 6 Others

Allahabad High Court · Division Bench · 16 December 2025 · Writ - C No. 5762 of 2021 · **Interim stay of recovery against ex-directors; company proceedings not stayed; listed with connected vires writ.**

HEADNOTE

Ex-directors of a private limited company challenged a recovery citation for the company's electricity dues, attacking Clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 as ultra vires Section 2(15) of the Electricity Act, 2003. Because the same issue is pending in Writ-C No. 11426 of 2016 (Brijesh Kumar Agarwal), a Division Bench on 16 March 2021 granted the same interim: the citation dated 21.9.2020 shall not be enforced against the petitioner-directors, without staying recovery against the company. Later orders continued that interim and listed the writ with connected matters. The last order (16 December 2025) listed it for 6 January 2026. The vires of Clause 4.3(f)(v) was not decided.

FACTUAL SUMMARY

Vinod Kumar Jaiswal and another, ex-Directors of M/s Vijay Ispat Alloy Pvt. Ltd., a private limited company, challenged a recovery citation dated 21 September 2020 issued by respondent no. 3 for electricity dues of that company. They asked whether those dues can be recovered from a director by treating him as the consumer.

Clause 4.3(f)(v) of the U.P. Electricity Supply Code, 2005 authorises recovery from directors where the defaulting consumer is a company. The petitioners challenge that clause as ultra vires the Electricity Act, 2003 on the footing that Section 2(15) defines 'consumer' and directors of a body corporate are not consumers. The same vires issue is pending in Writ-C No. 11426 of 2016 (Brijesh Kumar Agarwal and another v. State of U.P.).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::4.3(f)(v)

interim stay of recovery against directors pending vires challenge

QUESTION

Pending a challenge that Clause 4.3(f)(v) is ultra vires Section 2(15) of the Electricity Act, 2003, may recovery of a company's electricity dues be enforced against its directors?

HOLDING

The Court did not decide the vires. Because the same issue is pending in Writ-C No. 11426 of 2016 (Brijesh Kumar Agarwal), the petitioners (ex-Directors) were given the same interim on 16 March 2021: the recovery citation dated 21.9.2020 shall not be enforced against them; proceedings against the company (respondent no. 7) are not stayed. Later benches continued that interim and listed the writ with connected matters. The last order (16 December 2025) listed the matter for 6 January 2026 after the Advocate General did not appear. ¶ 16.3.2021

FLAG Interlocutory only. No construction of Clause 4.3(f)(v). Vires vis-à-vis s.2(15) left to the connected lead writ.

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VIRES OF CLAUSE 4.3(F)(V) AND WHETHER DIRECTORS OF A COMPANY-CONSUMER CAN BE PROCEEDED AGAINST AS CONSUMERS UNDER SECTION 2(15) OF THE ELECTRICITY ACT, 2003

Raised as the writ issue and as the ground of challenge copied from Writ-C No. 11426 of 2016; not decided. Interim only. ¶ 16.3.2021

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Brijesh Kumar Agarwal and another v. State of U.P. and 6 others</i> Writ-C No. 11426 of 2016, order dated 10.3.2016 Allahabad High Court	Prima facie, where the supply agreement shows the company as consumer, Clause 4.3(f)(v) recovery against directors is under challenge as ultra vires s.2(15); the recovery citation is not to be enforced against the director-petitioners, without restraining recovery against the company.	Same interim granted because the issues are the same; the present writ was connected and listed with that pending petition.	Court	Followed

SCJ-473 · Vinod Kumar Jaiswal And Another v. State of U.P. And 6 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.